Revision Date:
October 1, 2025

Background:
The CalWORKs Stage One Child Care (Stage One Child Care) program is for current and former CalWORKs customers. The program assists in paying for child care services to a provider of the customer's choice. CalWORKs customers will be authorized for 24 months of child care upon CalWORKs approval or anytime thereafter when a CalWORKs customer indicates a need for child care.

Purpose:
The purpose of this section is to explain the criteria for Stage One Child Care eligibility. The material revisions are to incorporate policies to extend 12-month eligibility to 24 months and to clarify policies for abandonment of care, discontinuing child care, and verification of a child's exceptional needs.

Policy:
CalWORKs customers, who meet child care eligibility criteria, will have access to 24 months of Stage One Child Care once they are determined eligible for CalWORKs, and they:
- Are requesting child care services.
- Have secured a child care provider.
- Are expected to be referred to Employment Services (ES).

Eligible Adult
CalWORKs customers who are eligible to receive Stage One Child Care include:
- Mandatory ES participants.
- Cal-Learn (CL) participants.
- ES exempt volunteers.
- ES sanctioned participants who express an intent to cure the sanction.
- Sanctioned or penalized participants who are working or participating in county-approved activities.

CalWORKs families with no aided adults are *not* eligible for Stage One Child Care, for example:
- Adults receiving Supplemental Security Income (SSI) benefits.
- Ineligible noncitizen adults.
- Non-needy caretaker relatives.
- Timed-out adults eligible to Stage Two Child Care.

Timed-out and Former CalWORKs Customers
Timed-out adults and former CalWORKs customers who received aid within the past 24 months may receive Post Aid child care services through Stage One under the following circumstances:
- The CalWORKs customer cannot receive child care services in Stage Two because of program barriers or other administrative issues.
- The child care services are not available in Stage Two or Stage Three due to funding.
- The customer will benefit from remaining with Stage One Child Care services; for example, when a customer has a request for retroactive child care that isn't allowed in Stage Two.

Timed-out adults and former CalWORKs customers who received aid within the past 24 months, and ES participants who are in a long-term sanction, will be referred to Stage Two Child Care, unless they meet one of the circumstances listed above.

Eligible Children

Children up to and through age 12 are eligible to receive child care services. Children who are under court supervision may receive services up to age 18. Children with exceptional needs and/or who are severely disabled may continue to receive child care services up to age 21.

Children may receive Stage One Child Care when all the following apply:	And at least one of the following applies:
• The parent has a need for child care services. • The family is receiving CalWORKs, or received CalWORKs within the last 24 months and child care isn't available in Stage Two or Stage Three Child Care. • There is no parent or legal guardian or member of the Assistance Unit (AU) living in the home who is able and available to provide child care. • Lack of child care would result in the customer not being able to participate in ES or CL activities, employment, or any other county approved activity.	• The child is a member of the AU, including the child of a CL participant. • The child is not a member of the AU because the child is receiving SSI/State Supplementary Payment (SSP) benefits or is in a Foster Care program. • The child is a member of a family with a former CalWORKs parent (who received aid within the past 24 months) who has a verified child care need. • The child is a non-AU member, but a CalWORKs parent is responsible for the care and control of that child (for example exempt stepsibling or half-sibling).

The preferred placement for 11 and 12-year-old children is in a before or after school program. Subsidized child care should only be utilized for the portion of care needed that is not available in a before or after school program. However, to ensure child care needs are met:

- Children may continue to receive child care subsidized services when a before or after school program is not available.
- Families may combine care provided in a before or after school program with subsidized child care for those hours when the before or after school program does not operate.

Note: Children who are 12 years old when certified must be certified for no less than 12 months of child care. If a child turns 13 years old during the first 12 months of the eligibility period, their certification of child care services should clearly indicate that they are only eligible for 12 months, including time after they turn 13 years. Their eligibility does not extend to 24 months.

When child care is being determined for a child 13 through 21 years of age because the child is physically or mentally incapable of caring for self, verification must be provided that the child requires child care or supervision. The parent must provide:

- Form 24-707 *Documentation of a Child's Exceptional Needs,* and
- A written statement from a physician or licensed or certified psychologist, or

- Verification of SSI/SSP benefit, or
- Individualized Education Program (IEP) and Form 24-793 *Statement of Exceptional Needs.*

Note: If a provider requests an adjusted reimbursement rate to cover extra costs for caring for a child with exceptional needs, the provider must submit verification of the accommodation and extra costs needed to meet the child's exceptional needs. For more information about exceptional needs rate adjustments see CPG 10-010.E Child Care Payments and 10-010.E1 Payment Procedures.

Two-Parent Families

Stage One Child Care will not be granted for two-parent households in which one parent is able and available to provide care for the children. A parent is considered available to provide care unless they are working (or sleeping after working a night shift), going to school, participating in an approved ES activity or has a condition that prevents them from caring for the children. When both parents are participating in ES, working, or are otherwise unavailable to care for their children, Stage One Child Care will be made available to them.

ES Exempt Volunteers

Customers who have been determined to be exempt from ES participation **who express an intent to participate in ES on a voluntary basis** are eligible to receive Stage One Child Care. The customer may communicate the intent to volunteer in ES in any manner (written, or orally). The request must be documented with a journal entry. After securing child care, the exempt volunteer shall sign an ES plan. Exempt volunteers who do not subsequently sign an ES plan will have their child care discontinued until they become mandatory participants or sign an ES plan.

ES Sanctioned Customers

ES sanctioned customers **who express an intent to cure the sanction** are eligible to Stage One Child Care. The customer may communicate the intent to cure the sanction in any manner (written, or orally). The request must be documented with a journal entry. After securing child care, the sanctioned customer shall sign form WTW 29 *Plan to Stop a Welfare to Work Sanction.* Sanctioned customers who later fail to sign a curing plan will have their child care discontinued. When customers who request to cure their sanction are already receiving Stage Two or Three Child Care, they may continue in Stage Two or Three Child Care if their needs are being met.

ES sanctioned **customers who do not request to cure their sanction**, including those in long-term sanctions are considered former CalWORKs customers and are eligible for Stage Two Child Care services if they have received CalWORKs within the last 24 months.

Mandatory ES or CL **customers who become sanctioned** after being authorized for 24 months of child care services may continue in Stage One Child Care for the remainder of the 24-month period or until they are transferred to Stage Two Child Care.

Domestic Violence Waivers

Customers with a domestic violence waiver remain eligible to continuous child care regardless of their participation in ES activities.

CL Program Transition to ES Program

CL customers who were certified for 24 months of child care services while participating in CL will continue for the remainder of the 24-month certification period when they transition to ES.

Program Activities

Program activities for which full-time immediate and continuous Stage One Child Care should be authorized include, but are not limited to:

- **Any ES or CL activity** (orientation, appraisal, assessment, job search, job club, work experience, employment, family stabilization services, mental health services, substance abuse services, education, vocational training, etc.).
- **Any other county approved activity** (housing search and classes, homeless support programs, shelter participation activities, eviction proceedings, parenting classes, court appearances, medical or education-related appointments for participants or their dependents, etc.).

Note: This list of program activities applies to CalWORKs customers *expected* to be referred to ES such as mandatory ES participants, exempt volunteers, and sanctioned customers who express an intent to cure their sanction.

Stage One Child Care Authorization and Certification

CalWORKs customers, who meet the Stage One Child Care aided-adult criteria listed above, will receive a 24-month Stage One Child Care authorization at the time CalWORKs is approved or redetermined. Refer to 10-010.A3 *Child Care Authorization* for more information.

Customers who are ***authorized*** to receive 24 months of Stage One Child Care services must also have their child care ***certified*** and ***approved*** in order to be reimbursed for child care services. To be certified and approved for child care, the parent and provider will need to complete an enrollment process with Stage One Child Care by submitting any required information and documentation. Child care will be either certified or denied based on an eligibility determination for the parents, children, and provider.

When it is certified that an eligible parent has secured child care with a provider who is enrolled with Stage One Child Care and who meets the parent's child care needs, a Child Care Certificate and an approval Notice of Action will be issued to the parent to certify and approve the child care for a 24-month certification period. The provider will be mailed a copy of the certificate. The approved begin date of the 24-month period is based on the earliest date that child care can be reimbursed. Refer to CalWORKs Processing Guide 10-010.A2 *Child Care Request* for more information about the begin date of child care reimbursement.

Stage One Child Care Recertification

Customers who are receiving Stage One Child Care services must recertify eligibility than every 24 months unless one of the following changes occur:

- The child care needs have increased.
- They have a new child who needs care.
- They have changed child care providers.
- The eligible child becomes ineligible.

Note: Upon certification or recertification of eligibility, a customer receiving Stage One Child Care shall be considered eligible and receive those services for no less than 24 months. The customer shall not be required to report changes to income or other changes during the 24-month certification. The 24-month certification period restarts whenever the child care eligibility is recertified.

Child Care Discontinuance

Stage One Child Care will be discontinued when any of the following circumstances occur:

- The customer is transferred to Stage Two and the Stage Two Child Care agency confirms the enrollment.
- When at initial post aid certification or recertification, the family income exceeds income eligibility of 85% of the State Median Income (SMI) for their corresponding family size.
- An ES exempt participant or ES sanctioned participant who initially expresses an intent to participate or cure their sanction fails to sign an ES plan.
- When a customer moves to another county in California. Refer to CPG 40-100.H *Inter-County Transfer* for more information.
- The child/family is no longer eligible, e.g., no eligible child, no longer residing in California.
- When there is substantiated evidence of fraud that invalidated the initial certification, and the family is not otherwise eligible.
- The customer has abandoned care.

Discontinuance due to Abandonment of Care

If there has been no communication from the family for a total of 30 consecutive days, the family will be discontinued from Stage One Child Care based on abandonment of care. The staff must issue a notice of action terminating child care services based on abandonment of care.

For discontinuation due to abandonment of care the following steps must be taken:

- When the customer has not been in communication with the child care provider for seven consecutive calendar days and has not notified the provider of the reason the customer is not using services, the provider must promptly notify their child care worker.
- The child care staff must attempt to contact the customer by phone, and in writing, which may be through electronic methods. All communication attempts must be documented, which includes a journal entry in CalSAWs and keeping copies of all written communication in the customer's file. The staff must inform the customer in these communications that failure to communicate with the staff or provider may result in termination of child care services.

Transitioning from Stage One to Stage Two Child Care

Customers who have been receiving child care services Stage One Child Care services for at least 60 days will be evaluated to determine if the customer meets the criteria of stability. Cases that meet the criteria of stability will be transferred to Stage Two Child Care. Refer to CalWORKs Processing Guide 10-010.A4 *Transitioning to Stage Two*.

Post Aid Child Care Eligibility

Customers who have timed-out or discontinued from CalWORKs within the past 24 months are to be evaluated for Post Aid Child Care with Stage One Child Care when they do not qualify for Stage Two Child Care because of program barriers. When the customer timed-out or discontinued mid-period in a

24-month certification period, the Post Aid Child Care eligibility will be evaluated at the customer's next recertification.

The following are considered in evaluating Post Aid Child Care eligibility:
- The need for child care services.
- The adjusted monthly income.
- The family size.

Customers may receive Stage One Post Aid Child Care services for no more than 24 months after CalWORKs discontinues. The 24-month limit applies to each instance of CalWORKs discontinuance. When a customer who is receiving Stage One Post Aid Child Care then applies for and receives Diversion Services, their 24-month limit of Post Aid Child Care will reset.

Family Size and Parent Definitions

The **family size** is composed of the parents and the children related by blood, marriage, or adoption living in the same home with the child receiving child care services. **Parent** means a biological parent, adoptive parent, stepparent, foster parent, caretaker relative, legal guardian, domestic partner of the parent as defined in Family Code Section 297, or any other adult living with a child who has responsibility for the care and wellbeing of the child. When another adult living in the household is neither the parent of the child nor the spouse of the parent, that adult, and their children if any, shall be excluded from the calculation of the family size.

When a child and their siblings are living in a family that does not include their biological or adoptive parents, the following must be considered when identifying the family size and income eligibility:
- Only the child and related siblings will be counted in the family size.
- The adjusted monthly income of the child and any related siblings, which includes payments specifically for the care and wellbeing of the child will be counted to determine eligibility. The payments must be made payable to and received by the adult who lives with and is responsible for the care and wellbeing of the child.
- The adult who lives with and has responsibility for the care and wellbeing of the child must have a child care need.
- Partners who have filed for domestic partnership with the state are considered the equivalent of a married couple for determination of the family size.

Refer to CalWORKs Processing Guide 10-010.B1 *Post Aid Child Care Procedures* and to the *Family Size Desk Aid* for examples of household composition and determining the family size.

Post Aid Child Care Income Eligibility

When determining eligibility at initial Post Aid Child Care certification and recertification, to be income eligible, the family's adjusted monthly income must be at or below 85% of SMI for their corresponding family size. Adjusted monthly income is the total countable earned and unearned income received by included family members.

Verified child support payments paid by the parent whose child or guardian is receiving child care services is subtracted from the countable income. Other adjusted deductions, voluntary or involuntary, are to be counted in the adjusted monthly income.

Refer to CalWORKs Processing Guide 10-010.B1 *Post Aid Child Care Eligibility Procedures* for how to calculate the countable income, including how to average fluctuating income.

Countable income includes, but is not limited to, the following:	
• Wages or salary, advances, commission, overtime, tips, bonuses, gambling, or lottery winnings • Self-employment earnings (business expenses are not counted) • CalWORKs grant • Unemployment • State or Private Disability Payments • Workers Compensation payments • Spousal (Alimony) or Child Support received • Social Security benefits (Retirement, Survivor, Disability) • Dividends, interest on bonds, income from estates or trust, or royalties • Net rental income including rental income for renting a room within the family's residence	• Foster care payments for children receiving child care services • Financial assistance received for the care of a child living with an adult who is not the child's biological or adoptive parent • Veterans pension • Pension or annuities • Inheritance • Allowances for housing or automobiles provided as part of compensation • Any portion of a non-government student grant/ scholarship that exceeds the amount intended for educational purposes and is available for living costs • Insurance or court settlements for lost wages or punitive damages • Net proceeds from the sale of real property, stocks, or inherited property • Other enterprise for gain

Non-countable income, includes but is not limited to, the following:	
• Earnings of a child under age 18 years • Loans • Student grants and loans intended for educational purposes made by a state or federal agency • Student loans, grants and scholarships obtained under conditions that prevent their use for living costs • CalFresh allotment or other food assistance • Earned Income Tax Credit (EITC) or tax refund • Adoption Assistance Payments • Non-cash assistance or gifts • Government Issue (GI) Bill entitlements, hardship duty pay, hazardous duty pay, hostile fire pay, or imminent danger pay • All income of SSI and/or State Supplemental Program (SSP) recipient	• Reimbursement for work-required expenses such as uniforms, mileage, or per diem expenses for food and lodging • Business expense for self-employed • When there is no cash value to the employee, the portion of medical and/or dental insurance documented as paid by the employer and included in the gross pay • Disaster relief grants or payments, except any portion for rental assistance or unemployment • AmeriCorps Volunteers In Service to America (VISTA) and Federal Emergency Management Agency (FEMA) stipends, room and board, and grants • Guaranteed Income Payments, from but not limited to, the California Guaranteed Income Pilot Program

• Insurance or court settlements for pain and suffering	

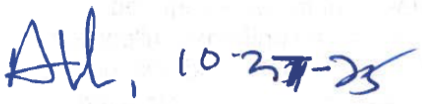
When customers are found eligible for Post Aid Child Care services, some customers may be assessed with a fee based on their adjusted monthly income and family size. The assessed fee is referred to as a family fee. Customers are required to pay the family fee directly to the child care provider. Refer to CalWORKs Processing Guide 10-010.E2 *Family Fees* for more information.

Procedure:
Processing Guide 10-010.A1 – Child Care Request and Authorization
Processing Guide 10-010.A3 – Child Care Authorization Form – CCP 8
Processing Guide 10-010.A5 – Transitioning Child Care Cases to Stage 2
Processing Guide 10-010.B1 – Post Aid Child Care Eligibility Procedures

References:
EAS: 47-201, 47-220, 47-230
ACL: 11-52,19-99
ACIN: I-15-20, I-26-20, I-09-21
5 CCR §: 18078, 18083.1, 18066.5
WIC 10271 (h) (5), 10271.6 (c), 10227.5(b)(2)(A)
CCB: 22-04, 23-28, 24-34 (E), 25-15

Sunset Date:
This policy will be reviewed for continuance by October 31, 2028.

Approval for Release:



Rick Wanne, Director
Self-Sufficiency Services